

# NU Holdings Ltd (NU), Investment View

**Recommendation: Buy**

## Brazil: one of the most interesting emerging markets

Brazil remains one of the more investable large emerging markets as it combines a deep consumer economy, credible monetary policy, a flexible currency and a sophisticated financial system. The macro backdrop is not easy, as Brazil's overall economic situation remains challenging. World Bank estimates put real GDP growth at 3.4 percent in 2024, 2.3 percent in 2025 and 1.6 percent in 2026, as high rates and slower consumption cool the cycle. <sup>(1)</sup> The IMF nonetheless describes the economy as resilient, with medium term growth potential near 2.5 percent and policy frameworks that still support external stability. <sup>(1)</sup> For equity investors, the key point is that Brazil is not a balance of payments crisis story. It is a high real rate, fiscal credibility and productivity story. That is an uncomfortable environment for credit growth, yet it rewards banks that can fund cheaply, price risk quickly and keep operating costs structurally below the incumbents.

## Banking sector: recent developments and trends

Brazilian banking is profitable, regulated and still concentrated, but the competitive frontier has moved from branches to data, payments and daily engagement. The Central Bank of Brazil says the financial system has no relevant stability risk, with comfortable capital and liquidity, adequate provisions and stress tests that show resilience. <sup>(2)</sup> It also notes that household credit risk has risen and that restrictive monetary policy calls for caution in underwriting. <sup>(2)</sup> Pix (instant payment system operated by Banco Central do Brasil) has reset user expectations by making instant transfers available in seconds at any time, including days when banks are closed. <sup>(2)</sup> Digital banks have benefited from this shift, and the central bank reports that digital entities recorded the largest profitability improvement in 2025, driven by operating leverage from revenue growth. <sup>(2)</sup> This is exactly the industry structure in which Nu bank can compound, provided it resists the temptation to chase credit volume at the wrong price.

## Nu bank: overview of the business model

Nu bank began in 2013 by attacking a real pain point in Brazil, expensive, opaque, branch-based banking. Its first product, a no annual fee credit card fully managed in the app, launched in 2014. <sup>(3)</sup> The company then expanded from a card issuer into a full digital bank across spending, deposits, lending, insurance, investments and marketplace services. The decisive milestone was not only customer growth, but the shift from access to monetization. Nu moved from 54 million customers in Q4 2021 to 131 million in Q4 2025. In Brazil it reached 113 million customers, equal to 62 percent adult penetration, and management now calls it the largest private financial institution in the country by customers. Mexico had 14 million customers, while Colombia reached 4.2 million, up 70 percent year on year. <sup>(4)</sup>

The strongest improvement has been turning scale into economics. Monthly average revenue for active customers (ARPAC) rose from about 5 dollars in Q4 2021 to 15 dollars in Q4 2025, while cost to serve per active customer stayed around 0.8 dollars. The efficiency ratio fell from 78 percent to 20 percent over the same broad period, an extraordinary operating leverage result for any retail bank. Q4 2025 revenue reached 4.857 billion dollars, gross profit 1.961 billion dollars, net income 895 million dollars and return on equity 33 percent. The balance sheet also looks more bank like, with deposits of 41.9 billion dollars at 87 percent of the relevant interbank rate, total portfolio of 32.7 billion dollars and capital of 8.9 billion dollars. <sup>(4)</sup>

Nu has made mistakes. The first was letting the market value it too much like a software company and too little like a bank. When rates rose, investors rediscovered that credit losses, regulation and capital matter. The second was that disclosure lagged the complexity of a platform spanning products, segments and countries. The new managerial P&L introduced in Q4 2025 is a welcome answer, but also an admission that investors needed a clearer economic map. <sup>(4)</sup> The third is product risk. More than 100 launches in 2025 show execution velocity, yet too much breadth can blur focus, and reliance on unsecured credit or regulated secured products such as FGTS loans can expose growth to the credit cycle and rule changes. None of these mistakes is thesis breaking, because the company has responded with better segmentation, more secured lending, AI driven underwriting and conservative coverage.

## Latest earnings call: the reasons behind the recent reset

The Q4 2025 call mattered because it separated credit fear from credit facts. Early delinquencies improved again, with 15 to 90 day Non-Performing Loans at 4.1 percent and 90 day and above NPLs at 6.6 percent. Coverage over 90 day and above NPLs was 230.9 percent, and risk adjusted NIM held at 10.5 percent. <sup>(4)</sup> Management also explained that higher credit loss allowance was driven by growth in exposures rather than deterioration, while warning that 2026 is an investment year as Nu builds AI capabilities and prepares further international expansion. <sup>(4)</sup> That is why investors are selling. The stock began January near 18 dollars and traded around 12 dollars by mid June, so the multiple had to compress once management signaled near term cost pressure, Brazil remained a high rate market, CFO succession added noise and analysts focused on credit normalization. <sup>(5)</sup> I view this as a sentiment reset, not a fundamental reset.

## Valuation and recommendation: personal opinion

I rate Nu a Buy. At a market value near 59 billion dollars and 2025 net income of 2.87 billion dollars, the stock trades at roughly 21 times last year earnings for a company still producing 30 percent plus ROE, double digit customer growth, strong deposit funding and early-stage optionality in Mexico, Colombia and the United States. <sup>(5)</sup> The June 2026 authorization of up to 1 billion dollars of share repurchases reinforces that capital generation is no longer theoretical. <sup>(6)</sup> Investors are selling uncertainty, but the asset is a rare emerging market compounder with a structural cost advantage, growing principality and a long runway to deepen credit, savings and protection products across Latin America. For patient/value-investing investors, the current drawdown is an attractive entry point.

**Sources:** (1) World Bank Brazil overview, April 2026, and IMF Article IV visit statement, June 2026.

(2) Banco Central do Brasil Financial Stability Report, May 2026, and Pix materials.

(3) Nu bank blog, Nu reaches 100 million customers, and Nu investor relations.

(4) Nu Holdings Q4 2025 results release and Q4 2025 earnings presentation.

(5) StockAnalysis with S&P Global Market Intelligence market data, June 2026, and Nu Holdings 2025 Form 20F data.

(6) Nu Holdings SEC Forms 6K, June 2026.